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ORIGINAL

FEDERAL MARITIME COMMISSION

PETITION NO. P3-99

PETITION OF CHINA OCEAN SHIPPING (GROUP) COMPANY
FOR A PARTIAL EXEMPTION FROM THE CONTROLLED CARRIER ACT

COMMENTS OF SEA-LAND SERVICE, INC. AND AMERICAN PRESIDENT
LINES, LTD.

Sea-Land Service, Inc. ("Sea-Land") and American President Lines, Ltd. ("APL") each operate in the bilateral trade between the United States and China and in trades between China and countries other than the United States. Sea-Land and APL offer the following comments on the Petition of China Ocean Shipping (Group) Company ("COSCO") for a Partial Exemption from the Controlled Carrier Act.

COSCO seeks additional relief from the Controlled Carrier Act to permit COSCO additional rate flexibility at a time when China's rate regulation imposes significant restrictions on the ability of carriers to effectuate rate changes.

China's regulations appear to prohibit all carriers from altering rates except upon 45 days notice. The Shanghai Shipping Exchange, which operates under the auspices of China's Ministry of Communications, appears to interpret the regulations to provide that common carriage rates may be changed on 30 days notice and account specific rates may be changed on 7 days notice. The situation is further confused by the Ministry of Communications proposed "Regulations of International Shipping Containers Transport Bill of Lading Registration and Shipping Price Reporting Management." Ministry of Communications officials recently indicated that clarification of these regulations could be expected this year.

Additionally, the bilateral Maritime Agreement between the United States and the People's Republic of China has expired since the time the Commission granted COSCO's earlier Petition No. PI-98. While both countries continue to accept the provisions of the expired agreement on the basis of comity and reciprocity, bilateral maritime discussions regarding a new agreement are scheduled to begin the week of September 20.

Furthermore, China Shipping Group, another carrier owned and controlled by the Peoples' Republic of China, has recently announced that it will be entering the trans-Pacific trades soon.

Due to the uncertainty and apparent conflict of China's own regulations with the relief that COSCO seeks from the Commission, and the fact that the anticipated clarification of China's proposed regulations has not materialized, the Commission should withhold action on COSCO's Petition in order to provide the opportunity for clarification of China's regulations and an assessment of the impact which the exemption COSCO seeks is likely to have on the trade.

Respectfully submitted,

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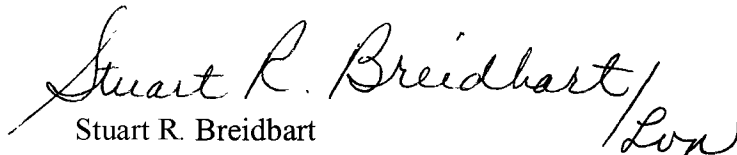
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September 7, 1999

CERTIFICATE OF SERVICE

I hereby certify that I served a true and correct copy of the foregoing Comments of Sea-Land Service, Inc. and American President Lines, Ltd. by first-class mail postage prepaid and by facsimile on Petitioner's counsel at the following address:

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September 7, 1999